UNIVERSITY OF JOHANNESBURG

# FACULTY OF LAW
# LAW: NON-SUBSIDISED PROGRAMMES

# DIPLOMA IN PARALEGAL STUDIES

# LAW OF INSOLVENCY AND BUSINESS RESCUE (BLW00C3)

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**UNIVERSITY OF JOHANNESBURG**

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# Section A: Administrative details

## Welcome

Welcome to Business Law 3 – Law of Insolvency and Business Rescue of the University of Johannesburg's Continuing Education Programmes – Diploma in Paralegal Studies.

In this module we will help you to explore and develop the knowledge and skills you have already acquired in this course. You will investigate your role as a paralegal in the context of insolvency law and business rescue.

## Details of your Lecturer


Lecturer: Mrs Cara Henderson
LLB (UJ), LLM (Dublin), Admitted Attorney and Notary Public of the High Court of South Africa (non-practising)

Email: carah@uj.ac.za


## Teaching and learning

### Workshops

At present, there are two *compulsory* workshops planned, which you must attend. It is in your best interest to attend both workshops, as various examples and material which are not included in this Study Guide, will be discussed. Please note that no workshops will be repeated in person or online, and no additional notes will be provided. Assignments and Examinations will also be discussed during workshops. Any announcements made in class

will be deemed to have come to the attention of all learners. If necessary, this teaching and learning plan will be revised, and students will be informed via Moodle.

There are not enough lecturing contact sessions to discuss all the coursework. It is expected of you to master the prescribed material *independently*. This means that you will be expected to work through the relevant material before the lecture. Your lecturer will merely facilitate this learning process by making available supportive resources on Moodle. It is *not* your lecturers' responsibility to summarise the material for you, nor is it his responsibility to prepare notes for you. Take responsibility for your studies.

Workshop 1: 31 March 2026

Workshop 2: 23 June 2026

Web learning environment: *Moodle*

You *must* activate your course in the student website to access the Moodle course. Please contact the CAT helpdesk, email uhelp@uj.ac.za or call +27(0)11 559 3580. *Your lecturer cannot assist you with Moodle queries or problems*.

NB: *MOOLDE is an essential teaching and learning tool* that enables student success, is an absolute necessity for submitting assignments, and is the *primary portal of communication* between you and your lecturer.

Announcements, notes, and other information is continually placed on Moodle at the discretion of your lecturer. Such important information includes, but not limited to, workshop details, study notes, information regarding assessments, prescribed and or recommended sources, as well as prescribed changes to the subject matter of the module. It is your sole responsibility to ensure that you are up to date with all information posted on Moodle.

Please note that **if the aforementioned teaching and learning plan needs to be revised, students will be informed as soon as possible via Moodle**. It is therefore important that you **check Moodle regularly** for course related information.

## Consultation with lecturer

Since most students do not visit the UJ APK campus regularly, consultations with the lecturer will take place via an online Teams meeting, following correspondence with the lecturer.

When **sending an email to your lecturer**, **always state your student number, surname, and first name, as well as the subject name or course code in full**. Remember, the way you treat and engage with others determines how they will react to you. **Be respectful and courteous**.

Please ***ensure that you have read all relevant material before contacting the lecturer***. You must have the relevant study guide or work at hand if you have a question regarding same.

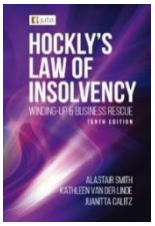
## Support services and resources

To ensure that you have all the support you need to successfully complete this course, the resources listed below need to be consulted. We are confident that, if you follow our suggestions for studying this course and use all these resources to their full potential, you will do very well.

1. Prescribed reading / reading package

   All the relevant information for this module is contained in the slides which have been uploaded onto Moodle. The slides are compulsory. This study guide has been developed to provide you with the required learning material and outline various administrative aspects. This study guide has been developed as a user manual and provides the subject's relevant theoretical content.

The prescribed textbook for this subject is Smith et al Hockly's Law of Insolvency: Winding-Up and Business Rescue (10th ed) (NB NEW EDITION) .




2. PowerPoint lecture slides

The PowerPoint lecture slides are compulsory study material, which can be downloaded from Moodle.

3. Moodle

It is your sole responsibility to ensure you are competent in using Moodle. As mentioned above, Moodle is an essential teaching and learning tool that enables student success, is an absolute necessity for submitting assignments, and is the primary portal of communication between you and your lecturer.

Your lecturer cannot assist you with Moodle queries or problems. Please refer to the uLink brochure, or contact the CAT helpdesk, email uhelp@uj.ac.za

4. Library

Please contact the librarian for information on different resources available, using the library link on the UJ website or library live on your U Link site. Useful link: https://uj.ac.za.libguides.com/?group_id=12171.

## Policies and procedures regarding plagiarism

The UJ's educational policy, *General Regulation and Faculty Regulations*, is applicable and is available for scrutiny at the Faculty office.

Dishonesty and plagiarism are not tolerated and will be punished. Plagiarism is the *verbatim* (word-for-word) use of another's work and presenting it as if it were one's own.

- It is important to acknowledge any thoughts, ideas and information which are not your own. It is also important to use a standard referencing format to provide all relevant information that will help anyone who is interested read further. As a result, you need to keep accurate records of how you collect your data.
- You will be required to cite your source(s), especially when referring to an item **within your text**. You are also required to indicate the reference where the citation can be found **at the end of** your work.
- The different Faculties and/or departments within the University may require you to use a particular (or different) way of citation. It is therefore important for you to enquire and adhere to the requirements set by the Faculty of Law.
- The proper procedures are laid down by the University, and the Faculty is responsible for strategies that address means of preventing, monitoring and handling acts of plagiarism.

Copyright issues are handled in accordance with DALRO principles and procedures. For more information, see UJ Law Library link regarding Plagiarism and Copyright: https://uj.ac.za.libguides.com/c.php?g=616010&p=8102756.

# Section B: Assessment guidelines

## Assessment opportunities and mark calculation

Assessments are conducted in accordance with the latest assessment policy of the Faculty of Law.

The assessment for this subject is based on two (2) formal assignments per module, which you must complete and upload to Moodle. Assignment 1 will cover the Law of Insolvency, and Assignment 2 will cover Business Rescue. The assignments are intended to assess the depth and breadth of your knowledge of a specific module and to improve skills such as logical thinking. You must obtain at least an average mark of 40% to qualify to sit for the examination in that particular module.

First assignment due date: 13 April 2026

Second assignment due date: 10 July 2026

Examination date: 23 October 2026

IMPORTANT - PLEASE SAVE YOUR ASSIGNMENTS AS FOLLOWS WHEN YOU UPLOAD THEM ONTO MOODLE:

ASSIGNMENT 1:

INS AND BR A1 [INITIALS AND SURNAME]

ASSIGNMENT 2:

INS AND BR A2 [INITIALS AND SURNAME]

## Assessment mark allocation

| | |
|---|---|
| Assignment 1 | 25% |
| Assignment 2 | 25% |
| **Exam mark** | 50% |

**NB: Students must obtain a subminimum of 40% in the examination and a final mark of 50% to pass the module.**

Any changes will be posted on Moodle or discussed during the workshops.

## Guidelines for answering questions in the assignments and exam

- Please *do NOT* try to Google the answer. You may very well end up referring to foreign law, which is both incorrect and irrelevant. All of the information that you require to answer the questions is contained in either the study guide, class slides, or material uploaded to Moodle.
- *Do not merely copy the text verbatim from the study guide! You will be penalised for plagiarism!*
- While using the prescribed material to answer your question, remain mindful of using the correct legal jargon.
- Before answering the question, read the set of facts thoroughly and identify the relevant legal aspects or issues in dispute.
- You will obviously only be able to answer this type of question if you know and understand the relevant underlying legal principles.
- The use of correct legal language and terminology is essential.
- Consider the mark allocation for each question to determine the detail required.
- Use full sentences.
- Do not include irrelevant information in your answer, as this detracts from the overall impression of your answer.

- Always refer to relevant case law and/or legislation (if applicable).

Editing and proofreading are essential parts of the writing process. Do not submit an answer without editing and proofreading your submission. Editing and proofreading means examining your (yet to be finally printed) text carefully to find and correct spelling, grammatical, and typographical (where appropriate) errors. The main purpose of editing and proofreading is to improve the quality of your submission by removing mistakes and correcting generalized discourse errors or writing inconsistencies. Essentially, you want to make sure that the content is properly conveyed, as this will improve the overall impression of your submission and will improve your marks (as well as the effectivity and persuasion of your arguments as a future prosecutor / lawyer / advocate).

# Section C: Module Outcomes

## Module learning outcomes for insolvency law

At the end of this module the student will be able to formulate and understand the main principles applicable to the sequestration process in Insolvency Act as well as the winding up process and business rescue framework in terms of the Companies Act.

The student will be competent if he or she is able to:

1. identify and critically discuss the statutory requirements and formalities in regard to compulsory and voluntary sequestration applications, compulsory and voluntary winding up and business rescue and the effects thereof
2. distinguish in writing between the different forms of recognised security in South African insolvency law and formulate the rules regarding the application of the proceeds of the insolvent estate by applying these rules to a set of facts
3. formulate and critically evaluate the legal principles in regard to interrogations, creditor meetings and proof of claims in an insolvent estate
4. advise a client in writing on the statutory and common-law rules relating to impeachable transactions and uncompleted contracts
5. critically evaluate and discuss in writing the legal principles regarding the administration process of an insolvent estate
6. evaluate the legal concept and framework of chapter 6 of Companies Act 2008.

## Module learning outcomes for business rescue

At the end of this module the student should be able to demonstrate an understanding of the importance and principles of business rescue proceedings as regulated by Chapter 6 of the Companies Act.

The student will be competent if he or she is able to:

1. discuss the aim of business rescue, the role of the business rescue practitioner and explain the effects of business rescue on a company;
2. explain and critically evaluate the principles that a business rescue model should entail; and
3. discuss the interplay between business rescue proceedings and liquidation proceedings.

# ASSIGNMENT 1

Mapula started working as a grade 2 teacher in January 2024, having completed her Bachelor's degree in Education in 2023. She earns a gross income of R17 000 per month. In 2024, she borrowed R200 000 from ABC Bank (Pty) Ltd to buy a flat in Cape Town. To secure repayment of the debt, the bank registered a mortgage bond over the flat. In 2025, the local municipality failed to service the sewerage facilities in the suburb where Mapula's flat is located, resulting in severe damage to her flat's plumbing and drainage system. The result was that the value of the flat dropped to R100 000.

Mapula further bought a Suzuki S-Presso from Harry's Cars and Motorbikes for R178 000 in September 2025. Her monthly repayment for the vehicle is R2 499. While her car was parked in the school parking lot where she works, a hailstorm hit the area, and it was badly damaged. As a result, the value of her car declined to R144 000.

At present, Mapula is having difficulty repaying her debts. She has to make the following monthly payments:

| | |
|---|---|
| Municipal rates and taxes | R2 000 |
| Cell phone | R 800 |
| Insurance | R 750 |
| Groceries | R4 000 |
| Harry's Cars and Motorbikes | R2 499 |
| Home loan | R6 000 |
| ADT alarm system for flat | R 500 |
| Social expenses | R1 000 |
| TOTAL | R17 549 |

Mapula still owes the bank R56 000 in terms of her home loan agreement. Mapula's salary is R17 000 per month, while her monthly debt repayments total R17 049. Mapula cannot afford to pay her creditors the amounts that she owes them, and her liabilities exceed her assets.

Answer the following questions:

1. Name three main sources of insolvency law. (3)
2. Differentiate between factual and commercial insolvency. (2)
3. Identify and define Mapula's financial status. (2)
4. Which court has jurisdiction to sequestrate Mapula's estate? (1)
5. Who can apply for voluntary surrender? (5)

6. Explain the procedure to be followed should Mapula decide to apply for the voluntary surrender of her estate. (4)
7. List any three items of property that are excluded from an insolvent estate. (3)
8. What effect will sequestration have on Mapula's estate? (5)
9. Should Mapula's estate be sequestrated, what effect will this have on her employment status? Give a reason for your answer. (2)
10. Name any two duties of a trustee. (2)
11. After how many years is an insolvent rehabilitated? (1)

TOTAL [30 MARKS]

IMPORTANT - PLEASE SAVE YOUR ASSIGNMENTS AS FOLLOWS WHEN YOU UPLOAD THEM ONTO MOODLE:

ASSIGNMENT 1:

INS AND BR A1 [INITIALS AND SURNAME]

# ASSIGNMENT 2

The board of directors of Wishful Investments (Pty) Ltd have reasonable grounds to believe that whilst the company is financially distressed due to recent economic hardship, there appears to be a reasonable prospect of rescuing the company. As such, the board adopts and files a resolution with the Companies and Intellectual Property Commission, thereby initiating voluntary business rescue proceedings.

Answer the following questions:

1. Briefly explain in your own words what you understand by the term "business rescue"? (5)
2. When is a company said to be financially distressed? (2)
3. When can a business rescue plan be set aside? (6)
4. In which circumstances can legal proceedings be commenced with against a company that is subject to business rescue proceedings? (6)
5. When must the proposed business rescue plan be published? (2)
6. Name any 2 (two) qualifications that a person must possess in order to be eligible to be appointed as a business rescue practitioner. (2)
7. Name any 2 (two) powers of the business rescue practitioner. (2)
8. What is the effect of business rescue proceedings on contracts of employment? (2)
9. When must the proposed business rescue plan be published? (3)

TOTAL [30 MARKS]

IMPORTANT - PLEASE SAVE YOUR ASSIGNMENTS AS FOLLOWS WHEN YOU UPLOAD THEM ONTO MOODLE:

ASSIGNMENT 1:

INS AND BR A2 [INITIALS AND SURNAME]